

## 25STCV15801 25STCV15801

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NATURE OF PROCEEDINGS: Hearing on Demurrer to First Amended

Cross-Complaint

The Demurrer is overruled in part and sustained in part with 20 days leave to amend.

### BACKGROUND

Plaintiffs and Cross-Defendants Emerita Celeste Aguilar Matias and Kaylani Paredes Aguilar, a minor, by and through her guardian ad litem Emerita Celeste Aguilar Matias (collectively, "Plaintiffs" or "Cross-Defendants"), filed this action against Ruben Adolfo Ajanel ("Ajanel" or "Cross-Complainant"), alleging that they were injured when an exterior stair at their apartment building collapsed. Ajanel filed a Cross-Complaint alleging that Cross-Defendants' counsel sent his insurer a policy limits settlement demand, that the insurer accepted it, and that Cross-Defendants then refused to complete the settlement and filed this action instead.

The causes of action in the First Amended Cross-Complaint (FACC) are: (1) Breach of Oral Contract; (2) Breach of Written Contract; (3) Breach of the Covenant of Good Faith and Fair Dealing; (4) Negligent Misrepresentation; (5) Promissory Estoppel; and (6) Declaratory Relief.

On May 18, 2026, the Court sustained Cross-Defendants' demurrer to the original Cross-Complaint with 20 days leave to amend. Ajanel then filed the FACC.

Cross-Defendants filed a Demurrer. Cross-Complainant filed an Opposition.

## REQUEST FOR JUDICIAL NOTICE

Cross-Defendants request judicial notice of Exhibit 1 to the Ralidis Declaration, which the declaration describes as the Court's ruling on the demurrer to the original Cross-Complaint. (Ralidis Decl., ¶ 2.) Exhibit 1 is instead the May 22, 2026 minute order accepting Ajanel's peremptory challenge and reassigning the case, with the clerk's notice and certificate of service. (Ralidis Decl., Ex. 1.) The Court grants the request as to its records, including the May 18, 2026 minute order sustaining the demurrer to the original Cross-Complaint with leave to amend and the May 22, 2026 minute order, for their existence and legal effect and not for the truth of any matter recited in them. (Evid. Code, §§ 452, subd. (d), 453.)

## LEGAL STANDARD

A demurrer lies where "[t]he pleading does not state facts sufficient to constitute a cause of action." (Code Civ. Proc., § 430.10, subd. (e).) "We treat the demurrer as admitting all material facts properly pleaded, but not contentions, deductions or conclusions of fact or law. [Citation.] We also consider matters which may be judicially noticed." (Blank v. Kirwan (1985) 39 Cal.3d 311, 318.) The Court gives the pleading "a reasonable interpretation, reading it as a whole and its parts in their context." (Ibid.) "To survive a demurrer, the complaint need only allege facts sufficient to state a cause of action; each evidentiary fact that might eventually form part of the plaintiff's proof need not be alleged." (C.A. v. William S. Hart Union High School Dist. (2012) 53 Cal.4th 861, 872.)

Where a document is attached to the pleading, the Court reads the document. "[W]e assume the truth of the contents of the exhibits [attached to the complaint]. If the allegations in the complaint conflict with the exhibits, we rely on and accept as true the contents of the exhibits and treat as surplusage the pleader's allegations as to the legal effect of the exhibits." (Barnett v. Fireman's Fund Ins. Co. (2001) 90 Cal.App.4th 500, 505 (Barnett).)

A pleader may nonetheless allege the construction of an ambiguous contract attached to the pleading. "[W]here an ambiguous contract is the basis of an action, it is proper, if not essential, for a plaintiff to allege its own construction of the agreement. So long as the pleading does not place a clearly erroneous construction upon the provisions of the contract, in passing upon the sufficiency of the complaint, we must accept as correct plaintiff's allegations

as to the meaning of the agreement.” (Aragon-Haas v. Family Security Ins. Services, Inc. (1991) 231 Cal.App.3d 232, 239 (Aragon-Haas).)

## ANALYSIS

### I. Meet and Confer

Ajanel argues that the Demurrer is procedurally defective because the declaration filed with it says nothing about a meet and confer.

Cross-Defendants’ reply that counsel met and conferred before filing.

The declaration filed with the Demurrer contains no statement of the means by which the parties met and conferred, which Code of Civil Procedure section 430.41, subdivision (a)(3) requires. (Ralidis Decl., ¶¶ 1-3.) However, “[a] determination by the court that the meet and confer process was insufficient shall not be grounds to overrule or sustain a demurrer.” (Code Civ. Proc., § 430.41, subd. (a)(4).) The Court therefore proceeds to the merits.

### II. The Prior Ruling

Cross-Defendants reply that the May 18, 2026 ruling decided these questions and that Ajanel has pleaded nothing new. As to the documents and the central allegation, that is accurate, and the Court states plainly what has and has not changed.

“It is well established that an amendatory pleading supersedes the original one, which ceases to perform any function as a pleading. [Citations.]’ [Citation.]” (Foreman & Clark Corp. v. Fallon (1971) 3 Cal.3d 875, 884.) The Court decides this demurrer on the pleading now before it.

### III. Breach of Contract

Cross-Defendants contend that no contract was formed because the demand letter was not a time-limited demand under Code of Civil Procedure section 999.1, contained no offer to release Ajanel, lacked essential terms, and because the insurer’s response added terms and was a counteroffer that Cross-Defendants never accepted. Cross-Defendants also contend that the second cause of action fails because no written contract was signed and that the FACC pleads no breach and no damages. Ajanel argues that the demand was an offer to

settle for the policy limits, that the insurer accepted it by telephone and in writing, that the parties' agreement on the material terms was not undone by the release paperwork that was to follow, and that questions of formation are for the trier of fact.

The elements of breach of contract are "(1) the existence of the contract, (2) plaintiff's performance or excuse for nonperformance, (3) defendant's breach, and (4) the resulting damages to the plaintiff." (Oasis West Realty, LLC v. Goldman (2011) 51 Cal.4th 811, 821.) A settlement agreement is governed by the principles that govern contracts generally. (Weddington Productions, Inc. v. Flick (1998) 60 Cal.App.4th 793, 810-811 (Weddington).) "The existence of mutual consent is determined by objective rather than subjective criteria, the test being what the outward manifestations of consent would lead a reasonable person to believe." (Id. at p. 811.) An offer "must be sufficiently definite, or must call for such definite terms in the acceptance, that the performance promised is reasonably certain." (Ibid.)

#### A. Offer

Here, Ajanel sufficiently alleges an offer. Cross-Defendants' counsel wrote the insurer "a demand for equitable settlement" of the claims arising from the fall. (FACC, Ex. A, at p. 1.) The letter names Ajanel as the party liable for the injuries, states that "we are demanding the Global Policy Limits for the settlement of this demand," and asks for a response by April 30, 2025. (FACC, Ex. A, at pp. 3, 9.) Ajanel alleges that the letter offered to settle and release Cross-Defendants' claims in exchange for the policy limits and that the insurer so understood it. (FACC, ¶¶ 12, 20, 25.) Cross-Defendants read the same letter as a demand for money that offered no release in return, and they reply that no one contends the letter is ambiguous, so Aragon-Haas has no application. (Reply, at p. 5:2-13.) The Court reads the letter itself. (Barnett, supra, 90 Cal.App.4th at p. 505.)

The reading that Ajanel pleads is not clearly erroneous. To settle a claim is to compromise it, and a compromise gives up the claim in return for what is paid. The letter is captioned "POLICY LIMITS SETTLEMENT DEMAND," describes itself as "a demand for equitable settlement," and demands the limits "for the settlement of this demand." (FACC, Ex. A, at pp. 1, 9.) Read as Cross-Defendants read it, that language proposes Ajanel receiving nothing at all. An insurer that paid the \$100,000 would purchase nothing, the claims would

survive the payment, and they could be filed the next month. The rules of interpretation do not permit that reading where another is available. "A contract must receive such an interpretation as will make it lawful, operative, definite, reasonable, and capable of being carried into effect, if it can be done without violating the intention of the parties." (Civ. Code, § 1643.) "An interpretation which gives effect is preferred to one which makes void." (Civ. Code, § 3541.) The objective test asks the same question from the other side. A reasonable person in the insurer's position, reading a letter that demands the limits to settle the claims and fixes a deadline for the response, would not understand it to propose a payment that left the claims intact. (Weddington, *supra*, 60 Cal.App.4th at p. 811.)

Additionally relevant is that an insurer may not simply hand the money over when faced with a demand. "[A]n insurer is authorized to settle lawsuits, not to pay unilaterally the policy limits to a plaintiff." (Lehto v. Allstate Ins. Co. (1994) 31 Cal.App.4th 60, 74 [insurer did not act in bad faith by declining to pay its limits without a release protecting all of its insureds]; see FACC, ¶ 9.) A demand for the limits directed to an insurer is read against a background in which the payment and the end of the claim move together.

That a release document was to follow does not show that the demand proposed no release. A signed release records the exchange and fixes its scope. It is the ordinary paperwork of a settlement rather than the settlement itself, and the insurer's letter treats it that way, stating that a release "will be forwarded for signatures" once the apportionment is supplied. (FACC, Ex. B, at p. 1.) A demand that proposes an exchange the parties expect to document is still a demand that proposes the exchange.

Cross-Defendants contend that the letter is not a time-limited demand because it does not offer the "complete release" that Code of Civil Procedure section 999.1, subdivision (c) requires, and that no contract could form without one. The chapter states the consequence of a noncompliant demand: "In any lawsuit filed by a claimant, or by a claimant as an assignee of the tortfeasor or by the tortfeasor for the benefit of the claimant, a time-limited demand that does not substantially comply with the terms of this chapter shall not be considered to be a reasonable offer to settle the claims against the tortfeasor for an amount within the insurance policy limits for purposes of any lawsuit alleging extracontractual damages against the tortfeasor's liability insurer." (Code Civ. Proc., § 999.4, subd. (a).) Whether the letter substantially complies with section 999.1 therefore does not decide whether it

was an offer that could be accepted

## B. Acceptance

Here, Ajanel sufficiently alleges mutual assent. Ajanel alleges that the insurer accepted on April 17, 2025, first by telephone and then by letter. (FACC, ¶¶ 15, 17, 26, 32.) The letter states, “we are accepting your global policy limit demand,” and continues, “We are prepared to resolve your client’s Bodily Injury claims for the policy limit of \$100,000.00 (One Hundred Thousand Dollars), inclusive of all liens and bystander claims.” (FACC, Ex. B, at p. 1.) The letter encloses the declarations page, asks for the final lien amounts and the apportionment between the two claimants, notes the possible need for a court-approved minor’s compromise, and states that a release will be forwarded for signature once the apportionment is received. (Ibid.)

Cross-Defendants contend that the release, lien, apportionment, and minor’s compromise steps were new material terms that made the letter a counteroffer. “[T]erms proposed in an offer must be met exactly, precisely and unequivocally for its acceptance to result in the formation of a binding contract [citations]; and a qualified acceptance amounts to a new proposal or counteroffer putting an end to the original offer.” (Apablaza v. Merritt & Co. (1959) 176 Cal.App.2d 719, 726 (Apablaza).) However, “when parties agree on the material terms of a contract with the intention to later reduce it to a formal writing, failure to complete the formal writing does not negate the existence of the initial contract. [Citations.] If the parties do not agree on the content of the formal writing (for example because one party wants to include something not agreed on in the first place, as Hodroj says happened here), the proposed writing is not a counteroffer; rather, the initial agreement remains binding and a rejected writing is a nullity.” (CSAA Ins. Exchange v. Hodroj (2021) 72 Cal.App.5th 272, 276 (Hodroj).) In Hodroj, the claimant’s counsel demanded the policy limits, the insurer wrote “We accept your demand for settlement of this claim” and enclosed a release, and the claimant repudiated the settlement because the release carried terms beyond the offer. (Id. at pp. 274-275.) The court held the settlement enforceable and the claimant in breach for filing suit on the claims he had agreed to settle. (Id. at pp. 277-278.)

That Hodroj was decided on undisputed facts at summary judgment does not diminish its relevance here. On demurrer the Court assumes the truth

of the FACC's allegations. Thus, Ajanel's position at this stage is the more favorable one. Likewise, an insurer's written acceptance of a demand for its available policy limits formed a settlement. Because the demand there had not made a declaration a condition of the offer, the parties' later exchange of one "did not equate to a novation or unwinding of the settlement." (Farmers Ins. Exchange v. Superior Court (2026) 122 Cal.App.5th 333, 339.)

Cross-Defendants distinguish Hodroj on the ground that the demand there invited a release and the demand here did not. Ajanel meets that distinction in two ways. First, the demand, read as Ajanel pleads it, proposed a settlement of the claims for the limits, and a settlement of the claims includes their release, as discussed above. Second, Ajanel alleges that on April 17, 2025, Cross-Defendants' counsel told the insurer's representative that executed releases, with the final lien amounts and the apportionment for a possible minor's compromise, would be provided. (FACC, ¶ 16.) The insurer's letter records the same exchange: "You agreed to forward the distribution amounts upon receipt of the offer," and "Your office confirmed your clients are non Medicare recipients but are DHCS recipients and agreed to forward the final liens." (FACC, Ex. B, at p. 1.) On these allegations the parties agreed on April 17 that the insurer would pay its \$100,000 limits and that Cross-Defendants would release their claims against Ajanel, with the release document and the lien and minor's compromise mechanics to follow. That is an agreement on the material terms with a formal writing to come. Under Hodroj, the writing that never came does not undo it.

Cross-Defendants argue that the insurer's letter was a counteroffer because it added terms. The letter opens by thanking counsel for the call that day and states, "As discussed, we are accepting your global policy limit demand." (Ibid.) The inquiry into mutual assent asks what those outward manifestations would lead a reasonable person to believe. (Weddington, supra, 60 Cal.App.4th at p. 811.) The acceptance letter also records the sequence of the call. The representative "requested the apportionment of the policy limit," "discussed the potential need for a court approved minor's compromise," and counsel "agreed to forward the distribution amounts." (FACC, Ex. B, at p. 1.) The letter's remaining terms state that the payment is "inclusive of all liens and bystander claims" and that checks issue on receipt of the executed release, the final liens, and any minor's compromise. (FACC, Ex. B, at p. 1.) Those terms are the mechanics of payment and release. Under Hodroj, they do not make the acceptance conditional.

Alternatively, if the requests made on the call turned the insurer's acceptance into a counteroffer, then the counteroffer was the call, not the letter. Ajanel alleges that Cross-Defendants' counsel agreed to provide "executed release(s) with information as to any final lien amounts and/or apportionment for a possible minor's compromise" before the letter confirmed the exchange. (FACC, ¶ 16.) A counteroffer "amounts to nothing" only "if not accepted by the original offeror." (Apablaza, supra, 176 Cal.App.2d at p. 726.) On either framing, the Court concludes that Ajanel sufficiently alleges mutual assent.

Cross-Defendants reply that the allegation is false and that it, like the allegation of the medical payments disclosure, does not identify who spoke, to whom, or how. (Reply, at p. 3:21-28.) The Court accepts properly pleaded facts as true. (Blank, supra, 39 Cal.3d at p. 318.) Ajanel identifies the parties to the conversation by role, its date, and its substance. Ajanel need not plead the evidentiary detail behind that conversation or behind the disclosure alleged in the general allegations. (FACC, ¶¶ 6, 16; C.A. v. William S. Hart Union High School Dist., supra, 53 Cal.4th at p. 872.) Uncertainty is a separate ground of demurrer that the notice does not raise. (Code Civ. Proc., § 430.10, subd. (f).)

### C. Essential Terms

Cross-Defendants contend that the "policy limits" were never defined, that the insurer withheld the medical payments coverage, that the demand did not say whether the limits were joint or separate as to the two claimants, and that the parties never agreed on who would be released, when payment was due, or attorney fees. "[A] contract will be enforced if it is sufficiently definite (and this is a question of law) for the court to ascertain the parties' obligations and to determine whether those obligations have been performed or breached. [Citations.] Stated otherwise, the contract will be enforced if it is possible to reach a fair and just result even if, in the process, the court is required to 'fill in some gaps.'" (Ersa Grae Corp. v. Fluor Corp. (1991) 1 Cal.App.4th 613, 623.)

Here, the obligations are ascertainable. The demand asked for the limits of Ajanel's liability policy, and the acceptance identified them as \$100,000 and enclosed the declarations page showing that figure as the business liability

limit. (FACC, ¶ 17, Ex. B, at pp. 1, 3.) The demand for Ajanel's policy limits is definite because his policy fixes the amount. As to medical payments coverage, Ajanel alleges that Cross-Defendants' counsel was told that coverage was unavailable to residents of the property. (FACC, ¶ 6.) Cross-Defendants' unexpressed expectation of \$200,000 or \$300,000 does not enter the objective inquiry. (Dem., at p. 12:7-9.) Nor does Cross-Defendants' speculation about what the redacted portions of the declarations page conceal; Ajanel alleges no coverage beyond the \$100,000 limit. The demand names Ajanel as the person liable. (FACC, Ex. A, at p. 3.) He is therefore the party to be released. The division of a single global payment between the two claimants is a matter of distribution, and Ajanel alleges that Cross-Defendants' counsel stated that the apportionment would be provided. (FACC, ¶ 16.) A payment date and a fee provision are not essential to a settlement whose exchange, \$100,000 for a release, is fixed. Where no time for performance is specified, "a reasonable time is allowed." (Civ. Code, § 1657.) The absence of a fee clause means only that each side bears its attorney fees. (Code Civ. Proc., § 1021.) Civil Code section 1654 applies "[i]n cases of uncertainty not removed by the preceding rules" of interpretation. On demurrer the Court accepts the pleader's construction and does not construe it against him. Thus, Ajanel sufficiently alleges a contract with reasonably certain terms.

#### D. Written Contract

Cross-Defendants contend that the second cause of action fails because no written contract was signed by the parties.

Here, Ajanel pleads the written demand and the written acceptance as the contract. (FACC, ¶¶ 31-32, Exs. A, B.) Cross-Defendants cite no authority requiring a signature before an exchange of letters can be a written contract. The writings here are the two letters, and neither is "unattached" or "undescribed." (Dem., at p. 13:18.) Whether the contract is characterized as oral, formed on the April 17 call, or written, formed by the exchange of letters, Ajanel may plead both in the alternative. The label does not decide a general demurrer. The second cause of action is sufficiently alleged.

#### E. Breach and Damage

Cross-Defendants contend that the FACC identifies no breach and pleads no facts supporting damages, and they point out that the first cause of action alleges a breach "by not reneging on the written offer." (FACC, ¶ 28; Dem., at

p. 10:5.)

Here, the first cause of action incorporates the general allegations, which allege that Cross-Defendants supplied neither the release nor the lien and apportionment information and instead filed this action on the claims they had agreed to settle. (FACC, ¶¶ 21-24.) Ajanel alleges the breach in the same terms in the second cause of action, as a failure to release him. (FACC, ¶ 36.)

Against those allegations, the word “not” in the phrase “not reneging” is an evident drafting error. The Court reads the pleading “as a whole and its parts in their context.” (Blank,

supra, 39 Cal.3d at p. 318.) The claimant in Hodroj “breached the contract here by filing suit on the bodily injury claims he had agreed to settle.” (Hodroj, supra,

72 Cal.App.5th at p. 278.) Ajanel alleges resulting damage in an amount according to proof. (FACC, ¶¶ 29, 37.) That is the ultimate fact the element requires. Whether particular items in the prayer, including attorney fees, are recoverable is not a question decided on general demurrer, because “[a] demurrer does not lie to a portion of a cause of action.” (PH II, Inc. v. Superior Court (1995) 33 Cal.App.4th 1680, 1682.)

Accordingly, the Demurrer to the first and second causes of action is overruled.

#### IV. Implied Covenant

Cross-Defendants contend that the third cause of action fails because it depends on the contract claims.

“The prerequisite for any action for breach of the implied covenant of good faith and fair dealing is the existence of a contractual relationship between the parties, since the covenant is an implied term in the contract.” (Smith v. City and County of San Francisco (1990) 225 Cal.App.3d 38, 49.) Here,

Ajanel sufficiently alleges the contract, as discussed above, and Cross-Defendants raise no other ground. The Demurrer to the third cause of action is overruled.

#### V. Negligent Misrepresentation

Cross-Defendants contend that the fourth cause of action identifies no misrepresentation of fact, pleads a promise instead of a representation, and alleges no justifiable reliance or cognizable damage. Ajanel argues that

Cross-Defendants represented that the policy limits would settle their claims and then did not settle.

“To be actionable, a negligent misrepresentation must ordinarily be as to past or existing material facts. ‘[P]redictions as to future events, or statements as to future action by some third party, are deemed opinions, and not actionable fraud.’” (Tarmann v. State Farm Mut. Auto. Ins. Co. (1991) 2 Cal.App.4th 153, 158 (Tarmann).) A promise made without the intent to perform is intentional fraud, and “[t]he specific intent requirement also precludes pleading a false promise claim as a negligent misrepresentation.” (Id. at p. 159.) The court in Tarmann declined “to establish a new type of actionable deceit: the negligent false promise.” (Ibid.)

Here, Ajanel insufficiently alleges a misrepresentation of existing fact. The representations alleged are that Ajanel was liable for the injuries and that the policy limits “needed to be offered to settle and release” him. (FACC, ¶ 45.) The first is the claimants’ contention of liability in a demand letter. The second is a promise of future performance. Ajanel alleges that Cross-Defendants “had no intention of releasing and settling” when the promise was made. (FACC, ¶ 48.) That allegation describes a false promise. The reliance Ajanel pleads is on that promise. (FACC, ¶ 50.) Under Tarmann, a false promise is not a negligent misrepresentation. The Court declines to develop Cross-Defendants’ remaining arguments on reliance and damage. Ajanel requests leave to amend. (Opp., at p. 10:11-15.) Accordingly, the Court sustains the Demurrer to the fourth cause of action with leave to amend.

## VI. Promissory Estoppel

Cross-Defendants contend that promissory estoppel is inapplicable because the claim rests on the alleged contract alone, and that the FACC pleads no clear promise, no reasonable reliance, and no injury. Ajanel argues that the allegations supporting negligent misrepresentation support this claim as well, and that alternative theories on the same facts are proper.

“Under this doctrine a promisor is bound when he should reasonably expect a substantial change of position, either by act or forbearance, in reliance on his promise, if injustice can be avoided only by its enforcement.” (Youngman v. Nevada Irrigation Dist. (1969) 70 Cal.2d 240, 249 (Youngman).)

“The purpose of this doctrine is to make a promise binding, under certain circumstances, without consideration in the usual sense of something bargained for and given in exchange.” (Ibid.) “If the promisee’s performance was requested at the time the promisor made his promise and that performance was bargained for, the doctrine is inapplicable.” (Ibid.) “Under such circumstances, the only reliance which can make the promisor’s failure to perform actionable is the promisee’s doing what was requested.” (Healy v. Brewster (1963) 59 Cal.2d 455, 463 (Healy).) “In other words, where the promisee’s reliance was bargained for, the law of consideration applies; and it is only where the reliance was unbargained for that there is room for application of the doctrine of promissory estoppel.” (Ibid.)

Here, Ajanel insufficiently alleges promissory estoppel. The promise alleged is Cross-Defendants’ promise to release and settle their claims “in exchange for” the policy limits, and the reliance alleged is that Ajanel “relied on the promise and agreed to provide” those limits. (FACC, ¶¶ 53-54.) The performance Ajanel alleges is the performance that the promise requested. That reliance was bargained for. Thus, the law of consideration governs it. The claim it supports is the breach of contract claim pleaded in the first and second causes of action. Ajanel also alleges that he relied on the promise by not inspecting the premises, gathering evidence, or consulting counsel before the Complaint was filed. (FACC, ¶ 56.) Nobody requested that forbearance, and Ajanel does not allege that Cross-Defendants bargained for it. However, where the promise was made in exchange for a requested performance, “the only reliance which can make the promisor’s failure to perform actionable is the promisee’s doing what was requested.” (Healy, supra, 59 Cal.2d at p. 463.) Ajanel’s forbearance from investigating the claim therefore does not make Cross-Defendants’ promise actionable outside the contract.

Accordingly, the Court sustains the Demurrer to the fifth cause of action with leave to amend.

## VII. Declaratory Relief

Cross-Defendants contend that the sixth cause of action pleads no actual controversy, that the statute requires a written instrument, that the disputes are factual, that the claim depends on the failed contract claims, and that the FACC seeks attorney fees without a basis. Ajanel argues that declaratory relief is a recognized means of settling disputes over contractual rights.

“Any person interested under a written instrument, excluding a will or a trust, or under a contract ... may, in cases of actual controversy relating to the legal rights and duties of the respective parties, bring an original action or cross-complaint in the superior court for a declaration of his or her rights and duties in the premises, including a determination of any question of construction or validity arising under the instrument or contract.” (Code Civ. Proc., § 1060.) “A complaint for declaratory relief is legally sufficient if it sets forth facts showing the existence of an actual controversy relating to the legal rights and duties of the parties under a written instrument or with respect to property and requests that the rights and duties of the parties be adjudged by the court.” (Ludgate Ins. Co. v. Lockheed Martin Corp. (2000) 82 Cal.App.4th 592, 606.)

Here, Ajanel sufficiently alleges an actual controversy. Ajanel alleges that he contends Cross-Defendants are obligated to release him from all liability for the fall in exchange for the \$100,000 limits, and that Cross-Defendants dispute it. (FACC, ¶ 59.) Cross-Defendants deny that any agreement exists and are prosecuting the claims Ajanel says were settled. The statute covers rights “under a contract.” No separate written instrument is required, and the contract alleged is in any event the exchange of letters. That the parties dispute the facts is a reason to try the controversy, not to dismiss it at the pleading stage. The contract claims on which the sixth cause of action depends survive, as discussed above. The prayer for attorney fees is a portion of the relief sought. Thus, a demurrer does not lie to it. (PH II, Inc. v. Superior Court, supra, 33 Cal.App.4th at p. 1682.)

Cross-Defendants also say the claim duplicates the contract counts. The Court may “refuse to exercise the power granted by this chapter in any case where its declaration or determination is not necessary or proper at the time under all the circumstances.” (Code Civ. Proc., § 1061.) Declaratory relief “operates prospectively,” and “there is no basis for declaratory relief where only past wrongs are involved.” (Osseous Technologies of America, Inc. v. DiscoveryOrtho Partners LLC (2010) 191 Cal.App.4th 357, 366, quoting 5 Witkin, Cal. Procedure (5th ed. 2008) Pleading, § 869, p. 284.) That the claim has accrued and that another remedy exists do not bar it. (Id. at p. 370.) Where the Court may entertain the count or dismiss it, “there is little support for the proposition that a trial court abuses its discretion by refusing to dismiss a declaratory relief action that amounts to a mere breach of contract action.” (Id. at pp. 374-375.) The declaration Ajanel

seeks is not confined to the past. It would determine whether Cross-Defendants may continue to prosecute the claims now pending in this action. The Court therefore entertains the sixth cause of action.

Accordingly, the Demurrer to the sixth cause of action is overruled.

#### CONCLUSION

The Demurrer is sustained as to the fourth and fifth causes of action with 20 days leave to amend and is otherwise overruled.